Forecasting Methodology and Key Assumptions

Valuation-Specific Assumptions

Input	Basis, Assumption & Forecasting Approach
Risk-Free Rate (Rf)	Based on the yield of the long-term Government of India (10-Year) sovereign bond, representing the risk-free rate used in the CAPM.
Equity Risk Premium (ERP)	Sourced from Aswath Damodaran's country risk premium dataset for India, representing the additional return expected by investors over the risk-free rate.
Levered Beta (β)	Estimated using a bottom-up beta approach. The median levered beta of four comparable peer companies was first delevered to obtain the asset beta and subsequently relevered using Asian Paints' target capital structure to derive the company-specific levered beta.
Cost of Equity (Ke)	Calculated using the Capital Asset Pricing Model (CAPM): $Ke = Rf + \beta \times ERP$.
Cost of Debt (Kd*(1-T))	Estimated using the company's effective borrowing cost and adjusted for the corporate tax shield.
Debt Weight (Wd)	Determined using the book value of debt, as the market value of debt was not readily available.
Equity Weight (We)	Determined using the book value of equity to maintain consistency with the debt valuation approach, since market value of debt was unavailable.
Weighted Average Cost of Capital (WACC)	Computed using the weighted average of the after-tax cost of debt and the cost of equity based on the target capital structure weights.
Target Capital Structure	Used as the Debt/Equity Ratio of FY26.

Terminal Growth Rate (g)	Estimated as the Compound Annual Growth Rate (CAGR) of FCFF over the forecast period FY27E–FY30E, providing a sustainable long-term growth assumption.
Tax Rate	Calculated as Tax Expense (FY26A) ÷ Profit Before Tax (FY26A), representing the company's effective tax rate used in the valuation.
Forecast Period	Four-year explicit forecast from FY2027 to FY2030.
Free Cash Flow to Firm (FCFF)	Calculated using operating profit after tax, adjusted for non-cash charges, capital expenditure, and changes in working capital.
Present Value of FCFF	Each forecast year's FCFF is discounted to present value using the computed WACC.
Terminal Value (TV)	Estimated using the Gordon Growth Model: TV = $FCFF_{(FY30E)} \times (1 + g) \div (WACC - g)$. Subsequently, discounting to present value using the computed WACC.
Enterprise Value (Value of Firm)	Calculated as the sum of the Present Value of forecast FCFF (FY27E–FY30E) and the Present Value of the Terminal Value.
Equity Value	Calculated as Enterprise Value − Book Value of Debt.
Intrinsic Value per Share	Calculated as Total Equity Value ÷ Number of Outstanding Shares.

Notes:

- *Equity Risk Premium (ERP) has been obtained from Professor Aswath Damodaran's annual implied equity risk premium database.*
- *A bottom-up beta approach was preferred over relying solely on the company's historical beta to reduce firm-specific volatility and better capture the business risk of the paint industry.*
- *Since the market value of debt was not readily available, book values of both debt and equity were used in determining capital structure weights to ensure methodological consistency.*
- *The terminal growth rate is based on the company's projected FCFF growth over the explicit forecast period rather than an assumed long-term GDP or inflation rate, making it internally consistent with the financial model.*

CSOPL Forecast Assumptions

Line Item	Basis, Assumption & Forecasting Approach
Revenue from Sale of Products	Forecasted based on historical revenue from sale of products growth trends. Future growth assumed using historical average growth rate observed during the forecast base period.
Revenue from Services	Forecasted based on historical revenue from services of products growth trends. Future growth assumed using historical average growth rate observed during the forecast base period.
Other Operating Revenue	Forecasted based on historical trend and maintained as a median of the historical growth.
Cost of Materials Consumed	Forecasted as a median of percentage of revenue using historical cost behaviour.
Purchases of Stock-in-Trade	Forecasted as a median of percentage of revenue using historical cost behaviour.
Changes in Inventories	Forecasted as a median of percentage of revenue using historical cost behaviour.
Employee Benefits Expense	Forecasted as a median of percentage of revenue using historical cost behaviour.
Finance Costs	Forecasted using the finance cost schedule, considering interest on borrowings, lease liabilities and other financing components.
Depreciation & Amortisation Expense	Linked with PPE and intangible asset schedules. Forecasted using historical depreciation/amortisation rates.
Other Expenses	Forecasted based on historical percentage of revenue.
Other Income	Forecasted based on historical trend.

Share of Profit/(Loss) from Associates	Forecasted based on historical growth trend of associate investments.
Profit Before Tax	Derived as per projected operating performance after incorporating forecasted income and expenses.
Tax Expense	Forecasted using most recent (FY2025-26) effective tax rate.
Profit After Tax	Derived from projected PBT after applying forecasted tax rate.
Earnings Per Share	Forecasted using projected profit attributable to equity shareholders divided by weighted average number of shares.
Dividend	Forecasted using historical dividend payout ratio and expected profitability divided by total eligible equity shares.

CSOFP Forecast Assumptions

Line Item	Basis, Assumption & Forecasting Approach
Property, Plant & Equipment	Forecasted using PPE schedule. Closing PPE derived using opening PPE + additions (CapEx) – depreciation.
Capital Work-in-Progress	Forecasted based on historical relationship with PPE and capital expenditure requirements.
Goodwill & Intangible Assets	Forecasted through goodwill & intangible asset schedule using additions and amortisation assumptions.
Right-of-Use Assets	Forecasted based on ROU asset historical growth considering additions and depreciation.
Investments in Associates	Forecasted using historical growth trends of investment in associates for latest 4 years as the transactions were considerably significant.

Financial Assets	Non-current Financial Assets are forecasted using historical growth patterns and current financial assets are forecasted as percentage of revenue.
Deferred Tax Assets	Forecasted based on historical relationship with tax expense for the year.
Other Non-Current Assets	Forecasted using historical proportion to Net PPE at the year-end.
Inventories	Forecasted using inventory days derived from historical trends.
Trade Receivables	Forecasted using receivable days assumption based on historical trends.
Cash and Cash Equivalents	Determined through cash flow balancing mechanism after considering operating, investing and financing cash flows.
Other Current Assets	Forecasted as a percentage of revenue based on historical relationship.
Equity Share Capital	Maintained constant as no significant change in issued share capital assumed.
Other Equity	Forecasted by incorporating retained earnings after dividends and other equity movements.
Non-Controlling Interest	Forecasted based on opening balance + share of NCI's retained earnings for the year.
Borrowings	Forecasted based on median of historic DEBT/EQUITY ratio (book value) and the ratios concerned.
Lease Liabilities	Forecasted through lease liability growth and lease liability ratios.
Trade Payables	Forecasted using payable days based on historical trends.
Other Current Liabilities	Forecasted as a percentage of revenue of latest 4 years as the transactions were considerably significant.
Deferred Tax Liabilities	Forecasted based on historical growth of latest 4 years as the transactions were considerably significant.
Income Tax Asset/Liabilities (net)	Forecasted based upon the historic growth of latest 4 years as the transactions were considerably significant.

CSOCF Forecast Assumptions

Line Item	Basis, Assumption & Forecasting Approach
Cash Flow from Operating Activities	Prepared using indirect method starting from Profit Before Tax.
Profit Before Tax	Linked from projected P&L statement.
Depreciation & Amortisation	Added back as non-cash expenses from PPE and intangible asset schedules.
Finance Costs	Added back from finance cost schedule.
Working Capital Adjustments	Forecasted based on changes in inventory, receivables, payables and other working capital items.
Taxes Paid	Forecasted based on projected tax expense and historical payment patterns.
Net Cash from Operating Activities	Derived after incorporating operating adjustments.
Purchase of PPE	Forecasted using CapEx assumptions from PPE schedule.
Purchase of Intangible Assets	Forecasted using intangible asset additions.
Investments in Financial Assets	Forecasted based on historical investment patterns.
Proceeds from Sale of Investments	Forecasted using historical trends.
Net Cash from Investing Activities	Derived after incorporating projected investing activities.
Borrowings Raised	Forecasted based on historic debt trend.

Repayment of Borrowings	Forecasted using debt repayment assumptions.
Dividend Paid	Forecasted using dividend payout assumptions.
Net Cash from Financing Activities	Derived after incorporating financing movements.
Closing Cash Balance	Calculated by adding net movement in cash to opening cash balance and used to balance the projected SOFP.

Schedule Forecast Assumptions

Schedule / Line Item	Basis, Assumption & Forecasting Approach
PPE Schedule – Capital Expenditure	Forecasted using CapEx as % of Revenue based on historical capital expenditure intensity. Median historical CapEx percentage applied for forecast years.
PPE Schedule – Depreciation	Forecasted using median depreciation rate calculated from historical depreciation trends.
Intangible Asset Schedule – Additions	Forecasted using historical additions and expected investment requirements.
Intangible Asset Schedule – Amortisation	Forecasted using median amortisation percentage derived from historical amortisation trends.
Right-of-Use Asset Schedule	Forecasted using historical lease additions and depreciation assumptions.
Finance Cost Schedule – Borrowing Interest	Forecasted using the historical proportion of the total finance cost.
Finance Cost Schedule – Lease Interest	Forecasted using the historical proportion of the total finance cost.

Finance Cost Schedule – Other Finance Costs	Forecasted using the historical proportion of the total finance cost.